

Fearnleys Dry Bulk Weekly

Jan 7, 2026

Capesize/Newcastlemax

The ratio between Capes and Kamsarmaxes remains quite high, which, along with a high laden/ballast vessel ratio suggest the market will trend down in the next weeks.

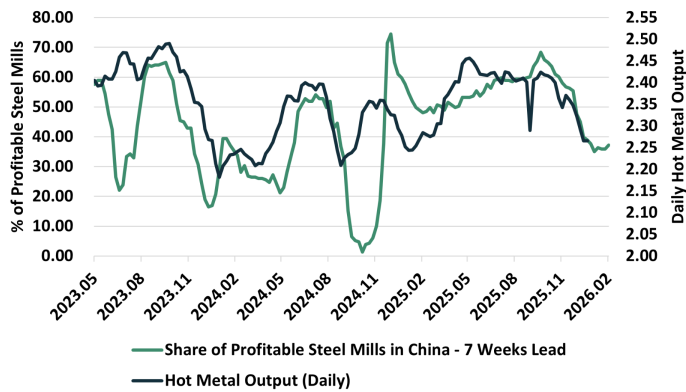
Top left chart: Hot metal output in China usually lags steel mill profitability by a few weeks. This suggests hot metal output will remain stable around current levels.

Top right chart: Higher backwardation = more urgency to buy, and vice versa. The futures curve suggests tailwinds for Capes through most of Q1, but the curve has recently become less backwardated.

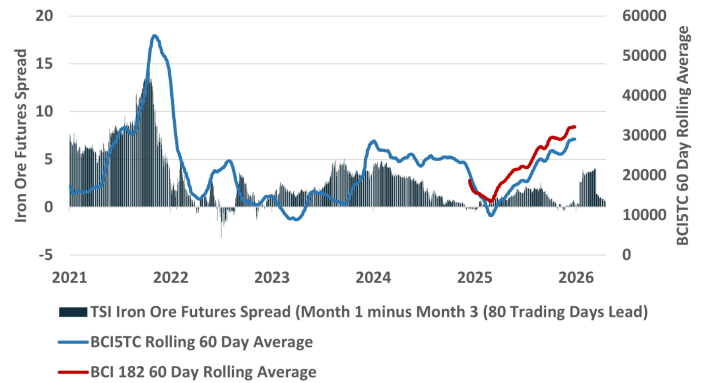
Bottom left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Bottom right chart: Iron ore prices have risen over the last few weeks, which, along with persistent backwardation, suggests iron ore demand remains firm.

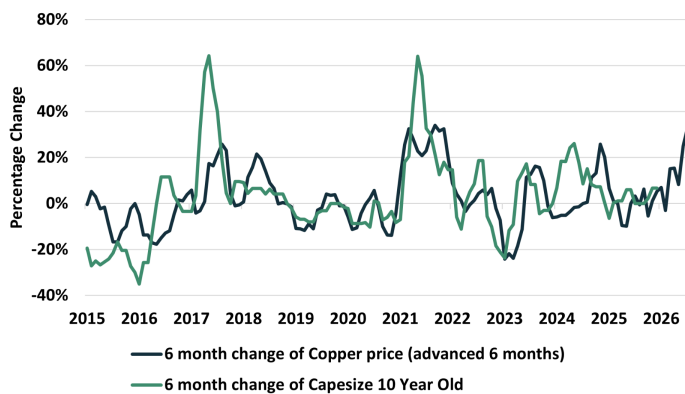
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



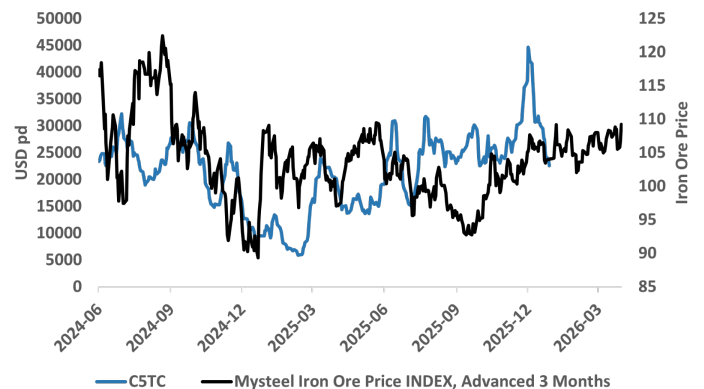
Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Copper Price Lead vs Capesize 10-Year Old



Iron Ore Fines CFR China, 3 Months Lead vs BCI5TC



Panamax/Kamsarmax

The indicators below suggest a rising market going forward in the next few weeks.

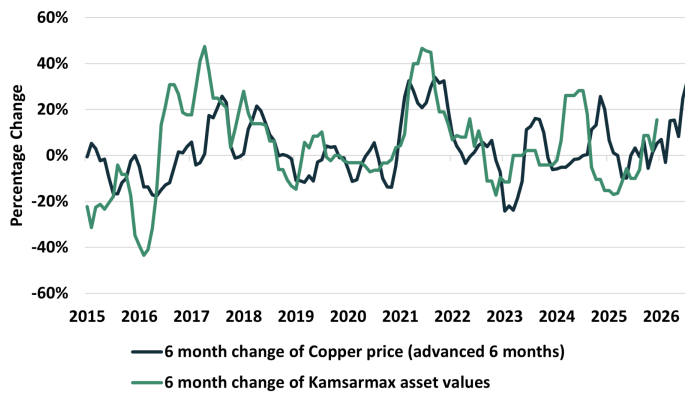
Top left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Top right chart: Backwardation in the coal market continues to increase, which strongly suggests an upwards trending P5 going forward. Recent reports from the Chinese import market are much more bullish than before Christmas.

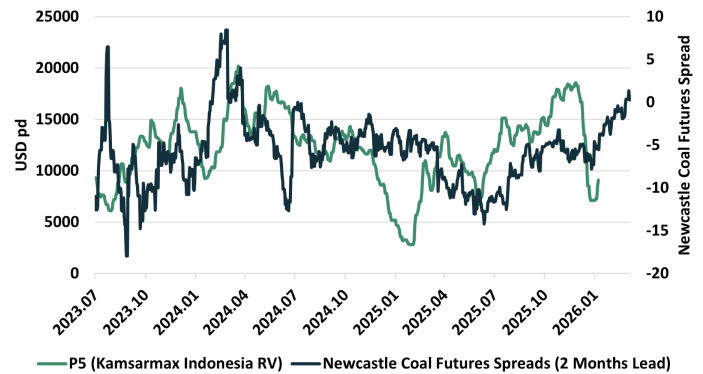
Bottom left chart: The net vessel change into the North Atlantic is positive, which more often than not correlates with a relative outperformance in the basin. That, along with positive indicators on the main routes should mean the basin will see a stable to firm development going forward.

Bottom right chart: The SATL tightness indicator suggests P6 has bottomed, and could start trending upwards in the next weeks.

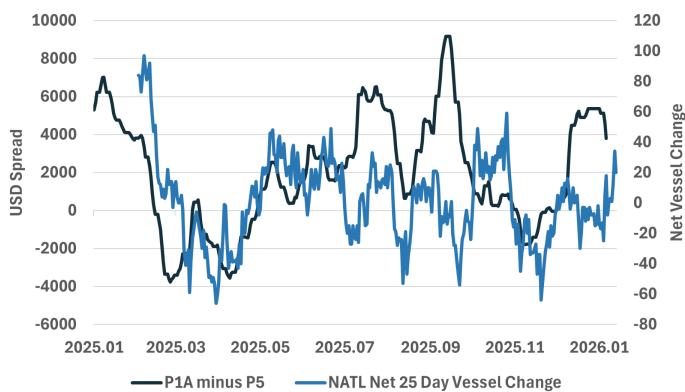
Copper Price Lead vs Kamsarmax 10 Year Old



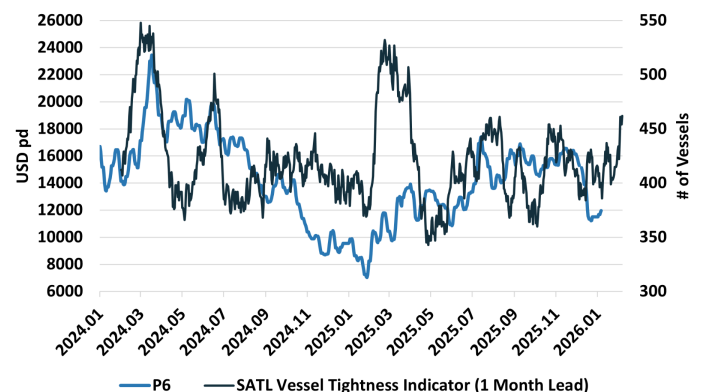
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



Supramax/Ultramax

We think the market drop is close to being done. Stable to firm outlook in the next weeks.

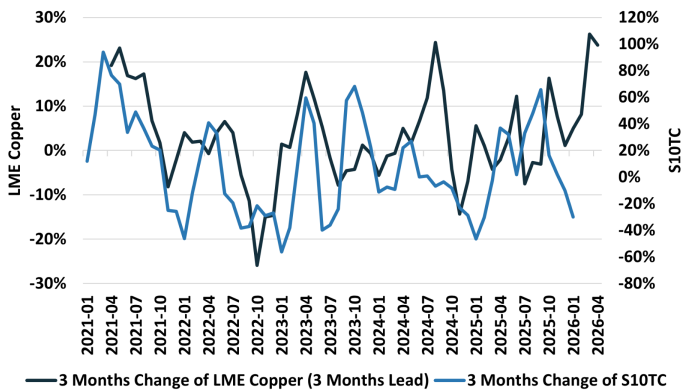
Top left chart: The three-month change in the price of copper looks very bullish for the coming months, and the three-month change of the S10TC index is very low.

Top right chart: Same as with the top left chart, but here illustrated a bit differently, and against 1 year TC. Rising momentum suggested through Q1.

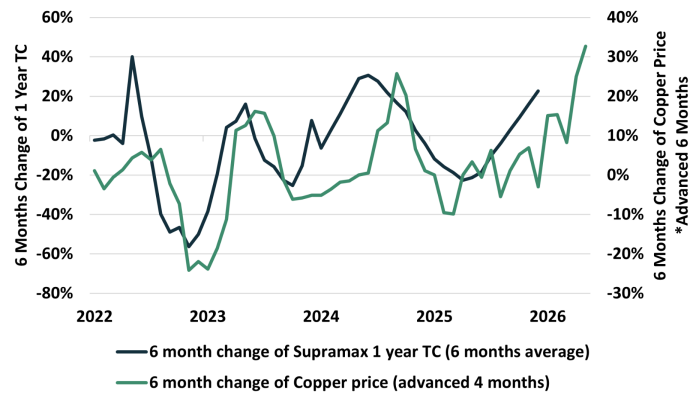
Bottom left chart: An industrial metals index including other metals as well, like Aluminium, Zinc and Nickel. This index is now at the highest level since Q2 2022. Will we therefore see the highest 1-year TC rates since Q2 2022 in the next months? It is a strong possibility.

Bottom right chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

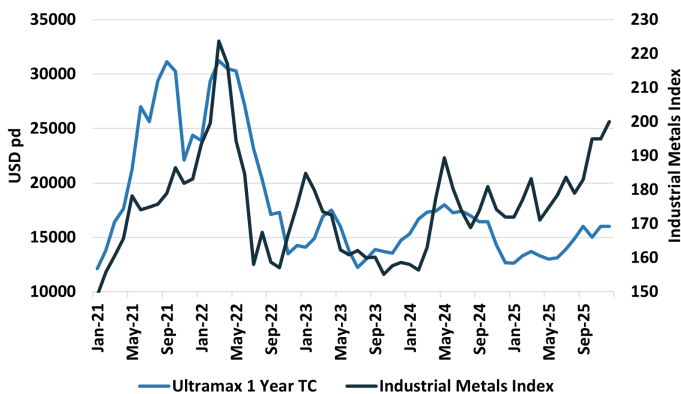
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



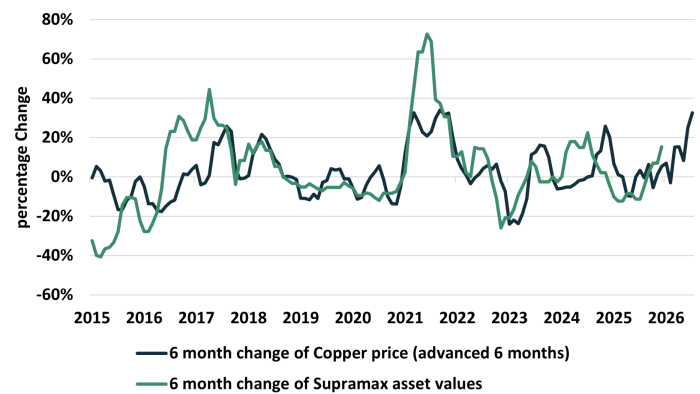
Copper Price 6 months Change, 4 Month Lead vs Supramax 1 Year TC 6 Months Change



Industrial Metals Index vs Ultramax 1 Year TC



Copper Price Lead vs Supramax 10-Year Old





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